

Exchange. As a practical matter, nearly all the younger analysts have had extensive business-school training, and the oldsters have acquired at least the equivalent in the school of long experience. In the great majority of cases, the employing brokerage house can be counted on to assure itself of the qualifications and competence of its analysts.*

The customer of the brokerage firm may deal with the security analysts directly, or his contact may be an indirect one via the customer's broker. In either case the analyst is available to the client for a considerable amount of information and advice. Let us make an emphatic statement here. The value of the security analyst to the investor depends largely on the investor's own attitude. If the investor asks the analyst the right questions, he is likely to get the right—or at least valuable—answers. The analysts hired by brokerage houses, we are convinced, are greatly handicapped by the general feeling that they are supposed to be market analysts as well. When they are asked whether a given common stock is “sound,” the question often means, “Is this stock likely to advance during the next few months?” As a result many of them are compelled to analyze with one eye on the stock ticker—a pose not conducive to sound thinking or worthwhile conclusions.*

In the next section of this book we shall deal with some of the concepts and possible achievements of security analysis. A great many analysts working for stock exchange firms could be of prime assistance to the bona fide investor who wants to be sure that he gets full value for his money, and possibly a little more. As in the case of the customers' brokers, what is needed at the beginning is a clear understanding by the analyst of the investor's attitude and objectives. Once the analyst is convinced that he is dealing with a man who is value-minded rather than quotation-minded, there is an excellent chance that his recommendations will prove of real overall benefit.

The CFA Certificate for Financial Analysts

An important step was taken in 1963 toward giving professional standing and responsibility to financial analysts. The official title of chartered financial analyst (CFA) is now awarded to those senior practitioners who pass required examinations and meet other tests of fitness.¹ The subjects covered include security analysis and port-folio